

Investment Policy Statement (IPS) – Private Pension Plan

Prepared by: Group 3

Client Profile

- **Age:** 45, Finance Professor (Germany)
- **Family:** Married, wife 43 (not working), 2 children (ages 5 & 8)
- **Assets:** Owns house (no mortgage)
- **Insurance:** Private health insurance €700/month
- **Income:** €81,600 gross / €57,000 net per year
- **Retirement Goal:** Age 68 (2048)

Objectives

- Supplement retirement income to cover **€26k/year (today's €)** pension gap
- Maintain **80% replacement rate** of pre-retirement net income
- Balance growth with downside protection (slightly risk-averse)
- Optimize after-tax outcomes under German tax rules
- Preserve capital until retirement

Horizon & Liquidity

- **Accumulation:** ~23 years
- **Decumulation:** ~20–25 years
- **Liquidity:** No withdrawals before retirement

Risk Tolerance

- **Attitude:** Slightly risk-averse
- **Capacity:** Strong (stable job, no mortgage, no liquidity needs)
- **Implication:** Diversified portfolio with controlled volatility and downside protection

Return Requirements

- **Target:** ~6–7% nominal
- **Goal:** Fund approx €26k annual net income gap in retirement

Constraints

- **Currency:** Liabilities in EUR → limit FX risk (EUR bonds; some USD equity acceptable, partially unhedged)
- **Taxes:** Consider Abgeltungsteuer (26.375%) vs. Teilfreistellung (30% exemption for equity ETFs)
- **Regulatory:** German pension/tax system
- **Illiquidity:** Avoid illiquid/private investments
- **Ethical:** None stated

Strategic Allocation Principles

- **Equities (global, diversified):** Growth engine
- **Bonds (EUR govies & corporates):** Stability, income, duration match
- **Alternatives (gold, infrastructure, REITs):** Diversification, inflation hedge
- **Dynamic glide path:** Gradual equity reduction

Monitoring & Rebalancing

- Annual portfolio review vs. objectives
- Rebalance if allocations deviate $> \pm 5\%$
- Stress test under adverse scenarios (inflation, market shocks, healthcare costs)